NewFinAgent — Financial Summary

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EXECUTIVE SUMMARY

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The company reported strong financial performance in FY 2025-26, with total revenue of $6,650,000 compared to $5,200,000 in the previous year. This represents a growth rate of approximately 27.9%. Net profit increased significantly from $1,450,000 to $2,070,000, reflecting a profit margin of 31.1%. Despite this robust performance, the company’s cash flow summary indicates mixed results, with operating cash flow exceeding $2 million but investing and financing cash flows resulting in a net outflow of $850,000. This suggests that while profitable, the company may need to manage its working capital more efficiently to sustain growth.

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KEY METRICS

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- **Total Revenue**: $6,650,000 (up 27.9% from previous year)
- **Net Profit**: $2,070,000 (up 42.8% from previous year)
- **Profit Margin**: 31.1%
- **Gross Profit**: $4,550,000
- **Total Expenses**: $4,580,000

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REVENUE ANALYSIS

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The company’s total revenue for FY 2025-26 was driven by strong contributions from its product sales segment (45% of revenue), service revenue (18%), subscription income (12%), and other sources (25%). Compared to the previous year, revenue growth was concentrated in product sales, which increased by $2 million or 37%, surpassing the overall revenue growth rate. Service revenue also saw a notable increase, contributing significantly to the growth momentum.

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EXPENSE ANALYSIS

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Total expenses for FY 2025-26 amounted to $4,580,000, with cost of goods sold (COGS) accounting for approximately half ($2,100,000). Salaries and wages were the next largest expense at $1.2 million, followed by marketing and advertising ($450,000), rent and utilities ($280,000), technology and software expenses ($180,000), and administrative expenses ($220,000). Depreciation was relatively low at $150,000. The company’s expense structure appears well-managed, with high gross profit margins offsetting significant operational costs.

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PROFIT AND LOSS SUMMARY

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- **Gross Profit**: $4,550,000 (27% of total revenue)
- **Operating Profit**: $2,070,000 (31.1% of total revenue and 90% of gross profit)
- **Net Profit**: $2,070,000 (31.1% of total revenue and 100% of operating profit)

The company’s ability to generate strong profits despite significant expenses highlights efficient cost management and pricing strategies.

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BALANCE SHEET HIGHLIGHTS

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- **Total Assets**: $8,900,000 (up 3.5% from previous year)
- **Fixed Assets**: $5,700,000 (up 4.2% from previous year)
- **Current Assets**: $3,200,000 (up 16.7% from previous year)
- **Total Liabilities**: $3,400,000 (up 5.8% from previous year)
- **Shareholders' Equity**: $5,500,000

The company’s balance sheet reflects a strong foundation with fixed assets dominating the asset base and an increasing trend in shareholders’ equity, indicating growth and profitability.

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CASH FLOW SUMMARY

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- **Operating Cash Flow**: $2,300,000 (up 68% from previous year)
- **Investing Cash Flow**: -$850,000 (down 47.1% from previous year)
- **Financing Cash Flow**: -$420,000 (down 93.2% from previous year)

While operating cash flow is positive, the investing and financing cash flows indicate that the company may be reinvesting in growth initiatives or returning capital to shareholders. The net cash position of $1,030,000 ($1 million up from previous year’s $950,000) suggests improved liquidity but highlights the need for better cash flow management.

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KEY FINANCIAL INSIGHTS

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- The company has achieved significant revenue growth primarily driven by product sales.
- Gross profit remains strong despite high expenses, indicating efficient operations and pricing strategies.
- Despite mixed cash flow results, the company’s positive net profit margin suggests profitability that can sustain long-term growth.
- The balance sheet reflects a healthy financial position with increasing assets and shareholders’ equity.

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RECOMMENDATIONS

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1. **Maintain Revenue Growth**: Focus on expanding product sales further while exploring additional

revenue streams such as premium pricing or bundled services.
2. **Improve Cash Flow Management**: Address the negative cash flow in investing and financing areas by optimizing working capital management and reducing unnecessary expenses.
3. **Invest in Future Growth**: Allocate a portion of excess cash flow to reinvestment in growth initiatives without compromising profitability.
4. **Monitor Financial Health**: Regularly assess key metrics such as profit margins, cash flow trends, and asset utilization to ensure sustainable financial performance.

By implementing these strategies, the company can continue to achieve its financial goals while maintaining strong profitability and liquidity positions.